STICKS KEBOB

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CASE BACKGROUND

RESTAURANT BACKGROUND:

- Sticks Kebob Shop is a fast-casual restaurant focused on fresh, healthy, and locally sourced food
- Founded in Charlottesville, VA with several existing locations
- Sticks is considering expanding into a new market
- Management is unsure which location best fits their customer base

YUMMY!

PROBLEM

Sticks needs to:

- Identify distinct customer segments in the market
- Understand differences between customers and non-customers
- Determine which segment(s) are most attractive
- Choose the best location for expansion based on segment fit

YUMMY!

YUMMY!

MARKET ANALYSIS

MARKETING ANALYSIS

RESEARCH: Survey data from customers and non-customers in the Charlottesville, VA area

Survey measured attitudes toward:

- Planning purchase decisions
- Spending control
- Preference for buying local
- Importance of health benefits in food

YUMMY!

MARKETING ANALYSIS

ANALYSIS: Cluster analysis to segment consumers

- Used Elbow plot to determine optimal number of segments

MARKETING GOAL:

- Identify distinct consumer segments
- Determine which segments are most aligned with the Sticks Kebob Shop
- Recommend the best location for expansion and guide positioning strategy

YUMMY!

YUMMY!

CLUSTER ANALYSIS

CLUSTER LOCATIONS

A

- POPULATION: 29,321
- MEDIAN AGE: 39.1
- MEDIAN INCOME: $92,700
- CONSUMER SPEND: $722M
- CONSUMER SPEND PER HOUSEHOLD: $62,404
- MAJOR CUSTOMER PROFILES: MIDDLEBURG MANAGERS, MOVERS & SHAKERS, UPPER CRUST, GRAY POWER, EMPTY NESTS

B

- POPULATION: 34,183
- MEDIAN AGE: 32.5
- MEDIAN INCOME: $31,900
- CONSUMER SPEND: $482M
- CONSUMER SPEND PER HOUSEHOLD: $36,720
- MAJOR CUSTOMER PROFILES: AMERICAN CLASSICS, AMERICAN DREAMS, ASPIRING A-LISTERS, BACK COUNTRY FOLKS

CLUSTER LOCATIONS

C

- POPULATION: 42,913
- MEDIAN AGE: 32.5
- MEDIAN INCOME: $55,700
- CONSUMER SPEND: $754M
- CONSUMER SPEND PER HOUSEHOLD: $46,828
- MAJOR CUSTOMER PROFILES: WINNERS CIRCLE, KIDS & CUL-DE-SACS, CRUISIN TO RETIREMENT, BELTWAY BOOMERS, EXECUTIVE SUITES

D

- POPULATION: 57,509
- MEDIAN AGE: 34.8
- MEDIAN INCOME: $75,000
- CONSUMER SPEND: $1,184M
- CONSUMER SPEND PER HOUSEHOLD: $75,880
- MAJOR CUSTOMER PROFILES: STRIVING SELFIES, UPWARD BOUND, GENERATION WEB, YOUNG AND INFLUENTIAL, UP AND COMERS

KEY CHARACTERISTICS

- From R-studio we created a chart to visualize the averages of each segment.
- Based on the observation, segment 3 is the best option because we want to target non-customers for our new location

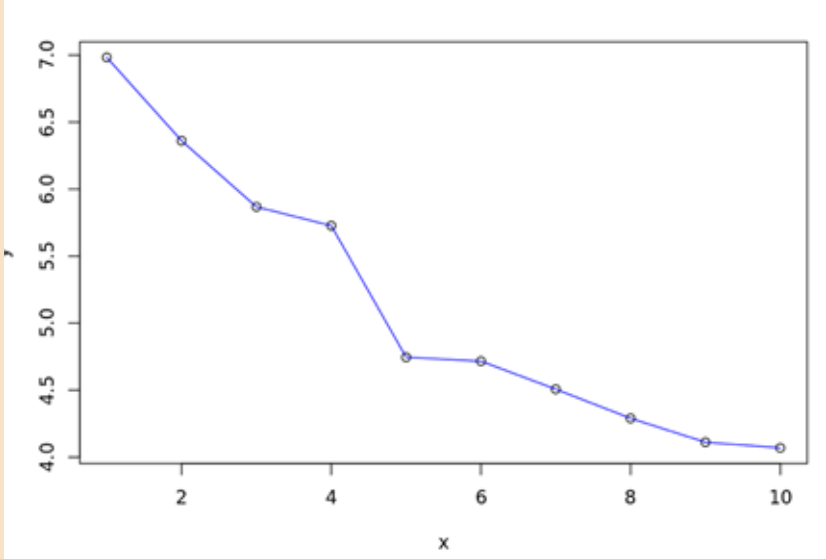
STICKS_RESULTS

	Segment						
	1	2	3	4	5	6	7
Avg. B1	3	1	2	2	2	1	2
Avg. B2	2	2	2	3	3	4	2
Avg. B3	2	2	3	2	2	2	2
Avg. B4	2	1	3	2	3	2	2
Avg. Cust	1	0	0	1	0	1	1
Obs	7,215	12,223	5,226	19,729	8,054	34,233	15,838

YUMMY!

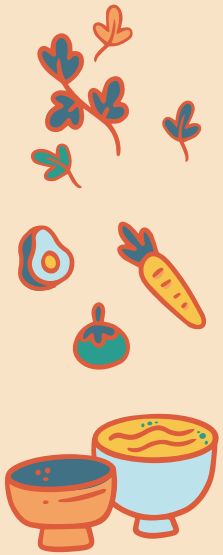
ELBOW PLOT

ELBOW PLOT



ANALYSIS OF ELBOW PLOT

- Sharp decrease in within-cluster variation up to k = 5
- After 5 clusters, improvements become marginal fits in food
- Conclusion: Market consists of 5 distinct segments



YUMMY!

CASE QUETIONS

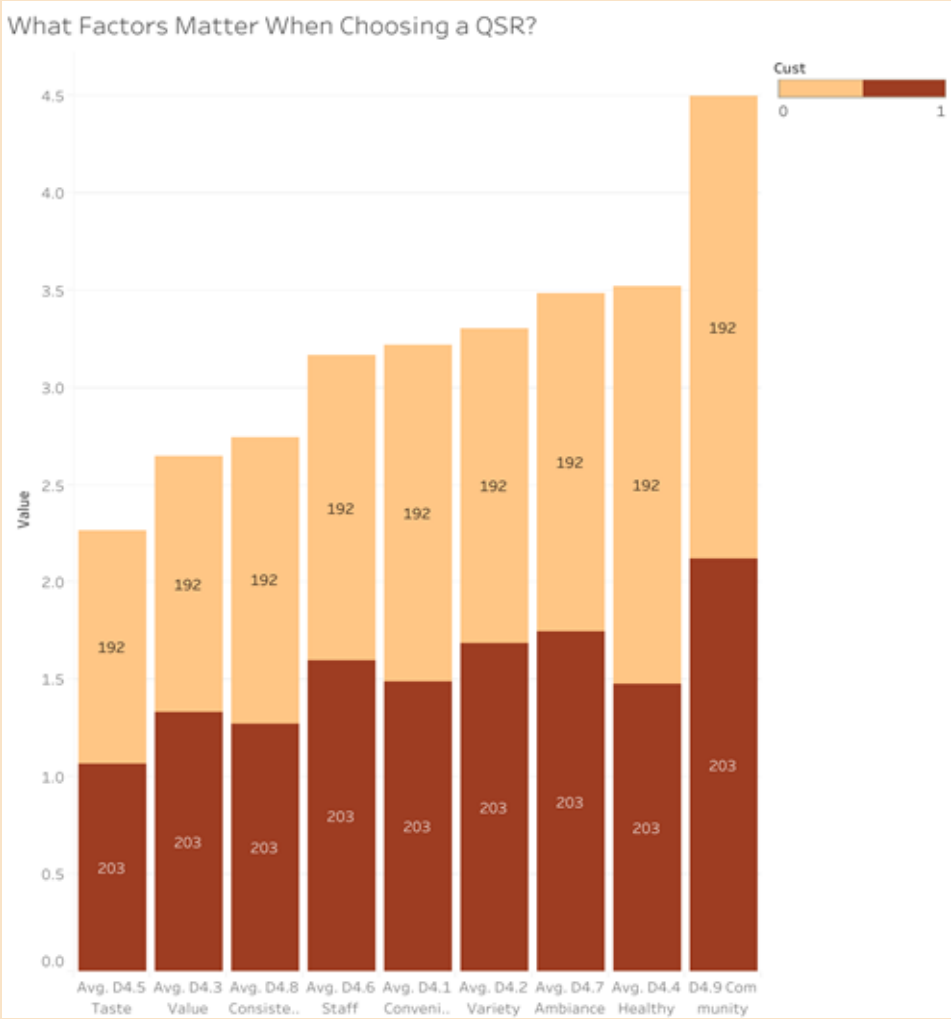
QSR Choice Factors

- Most important: Taste, value, and consistency
- Least important: Community, ambiance

** Reminder: lower values = more important*

4. Please indicate how important the following factors are when you visit a restaurant

	Very important (1)	Somewhat important (2)	Indifferent (3)	Somewhat unimportant (4)	Not important at all (5)	Don't know (6)
Convenient place to eat		X				
Variety of menu options		X				
Good value for money	X					
Healthy menu options		X				
Food taste and satisfaction	X					
Friendly staff		X				
Pleasant ambiance		X				
Consistency / reliability		X				
Part of community			X			
Other (please specify):						



HOW DO PEOPLE CHOOSE A FAST FOOD OR QSR TO VISIT?

- TASTE AND FOOD QUALITY
- CONVENIENCE AND LOCATION
- VALUE FOR MONEY / AFFORDABILITY
- CONSISTENCY AND FAMILIARITY
- HEALTH CONSIDERATIONS FOR CERTAIN CUSTOMERS
- PREFERENCE FOR LOCAL BUSINESS

WHAT DOES THE SURVEY DATA TELL US ABOUT THE DIFFERENCES BETWEEN CUSTOMERS AND NON-CUSTOMER?

Income skews higher among customers

- Under $50k: Customers 29.7% vs Noncustomers 50.7%
- $100k+: Customers 28.2% vs Noncustomers 12.7%

Profession differs sharply (working professionals vs homemakers)

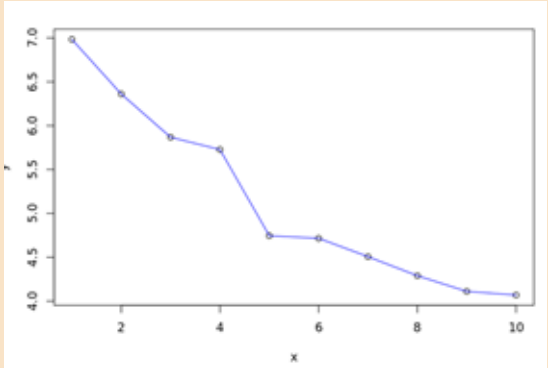
- Business professional: Customers 56.4% vs Noncustomers 29.2%
- Homemaker: Customers 8.4% vs Noncustomers 27.6%

CLUSTER ANALYSIS !

HOW MANY SEGMENTS ARE IN THE MARKET?

Based on the Elbow Plot, there are 5 segments in the market.

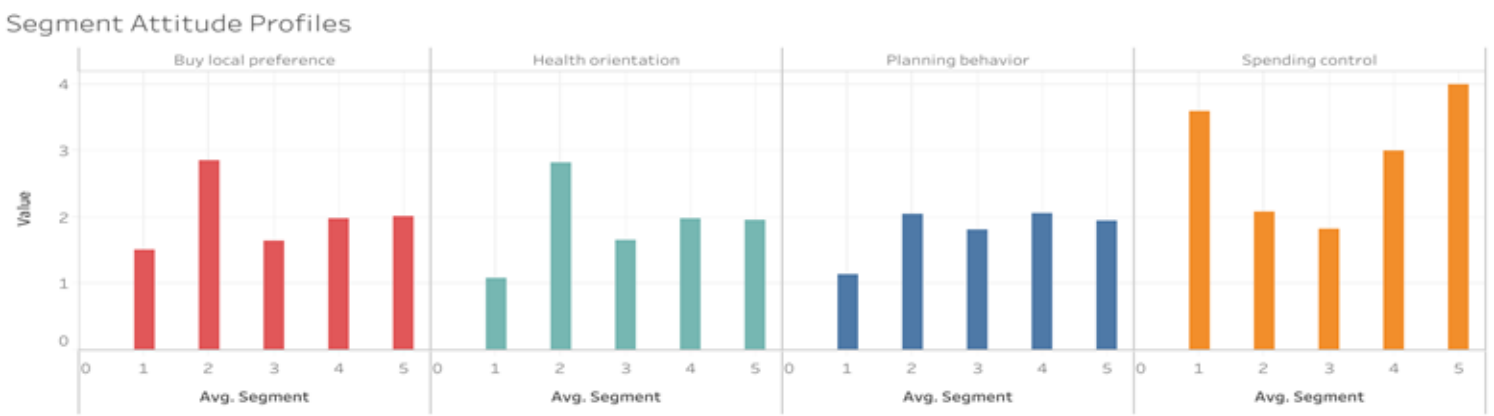
As the elbow appears around cluster 5, it drops and becomes more flat.



Segments

Segment Sizes (k = 5)

Bubble size represents the number of respondents in each segment; labels indicate segment numbers.



CLUSTER ANALYSIS!

WHAT ARE THE PROFILES OF THE CUSTOMER SEGMENTS?

SEGMENT 1 - HIGHLY PLANNED TRADITIONALISTS

50% Customers | 50% Non-customers

Bases Profile B1

- Carefully plans their purchases
- Strongly controls their spending
- Very low interest in novelty and variety
- Prefers familiar and established options

Descriptor Profile

- Visits a limited set of restaurants (D3)
- Rarely experiments with new cuisines or dining formats (D2)
- Less responsive to promotions or new offerings (D18)
- Displays conservative dining behavior (mix of 3)

→ **Not early adopters; hard to attract in new markets**

CLUSTER ANALYSIS!

WHAT ARE THE PROFILES OF THE CUSTOMER SEGMENTS?

SEGMENT 2 - CAUTIOUS VALUE SEEKERS

47% Customers | 53% Non-customers

Bases Profile B1 + B2

- Moderate planning behavior
- Strong spending control
- Low interest in novelty and variety

Descriptor Profile

- Moderate dining frequency (D1)
- Prefers value-oriented restaurants (D2)
- More responsive to price promotions and perceived value than to innovation or trendiness (D18)

→ **Slow adoption; value messaging required**

CLUSTER ANALYSIS!

WHAT ARE THE PROFILES OF THE CUSTOMER SEGMENTS?

SEGMENT 3 - EXPERIENCE ORIENTED EXPLORERS

60% Customers | 40% Non-customers

Bases Profile B3 + B4

- High interest on novelty seeking and variety seeking
- Moderate planning
- Reasonable spending control
- Enjoys trying new restaurants and cuisines

Descriptor Profile

- Visits a wide range of restaurant types (D2)
- Open to unfamiliar brands (D3)
- Dining out viewed as a social or experiential activity (D1 + D2)
- Engaged with new food trends (D2 + D4)

→ **Primary acquisition target for new locations**

CLUSTER ANALYSIS!

WHAT ARE THE PROFILES OF THE CUSTOMER SEGMENTS?

SEGMENT 4 - CONTROLLED INDULGERS

65% Customers | 35% Non-customers

Bases Profile B2

- Spends impulsively once decides to dine out
- Low interest in novelty and variety
- Moderate planning behavior

Descriptor Profile

- Frequently visits familiar restaurants (D1 + D3)
- Strong brand loyalty (D3)
- Willing to spend more but prefers doing so within trusted and known dining options (D1 + D18)

→ **Core retention and revenue segment**

CLUSTER ANALYSIS!

WHAT ARE THE PROFILES OF THE CUSTOMER SEGMENTS?

SEGMENT 5 - FLEXIBLE VARIETY SEEKERS

29% Customers | 71% Non-customers

Bases Profile B3 + B4

- Balanced levels of planning and spending control
- Moderate interest in novelty and variety
- Adaptable and open-minded in their dining choices

Descriptor Profile

- Broad but not extreme restaurant repertoire (D2 + D3)
- Responds well to promotions, seasonal menus, and visibility (D18)
- Open to switching between brands (D3)

→ **Secondary growth target via promotions**

CLUSTER ANALYSIS!

WHICH SEGMENTS SHOULD STICKS TARGET?

SEGMENT 3

EXPERIENCE-ORIENTED EXPLORERS

- High percentage of non-customers
- Non-customers in this segment are open to try new restaurants
- Ideal for attracting new customers when opening a new location
- Indicates strong acquisition potential
- Best segment for trial and awareness

CLUSTER ANALYSIS!

WHICH SEGMENTS SHOULD STICKS TARGET?

SEGMENT 5

FLEXIBLE VARIETY SEEKERS

- Dominated by non-customers
- Good potential to convert them
- Segment open to switching and responsive to promotions

YUMMY!

OUR RECOMMENDATIONS

RECOMMENDATIONS

WHY LOCATION C IS TARGETED:

Diverse population base:

- **Executive Suite/Winners Circle:** Upper-class homeowners who like to splurge on dinner with their kids. Enjoy trying new places.
- **Beltway Boomers/Cruisin to Retirement:** Has no children, accumulated wealth over time and prefers to enjoy retirement. Prefers to eat modestly and look for the best deals.
- **Kids & Cul-de-Sacs:** Married couples, some with children and some without, who are college educated and prefer to eat at affordable places.

RECOMMENDATIONS

Location C:

Income:

- Median income of $55,700
- Consumer spends per household: $46,828

Demographic preferences:

- Majority of this demographic prefers to spend money on quality food and entertainment.
- Enjoys quick and healthy meal options that appeal to all family members with diverse taste.

RECOMMENDATIONS

Family Bundles

- Designed for households with higher group dining frequency
- Uses bundled pricing to increase average order size
- Offers variety to satisfy different tastes in one order

RECOMMENDATIONS

Tiered Pricing Options

- Multiple price tiers ranging from budget-friendly to premium choices
- Gives customers flexibility based on spending comfort
- Encourages both everyday visits and special-occasion purchases

RECOMMENDATIONS

Community & Digital Promotion

- Use social platforms to share promotions and highlight menu quality
- Focus messaging on fresh ingredients and family-friendly dining

THANK YOU!